

Employing in Hungary

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Hungarian Labour Code
- **Monthly payroll** — salary payments in HUF, itemised payslips
- **Tax withholding** — flat-rate personal income tax withheld and remitted monthly
- **Social contribution tax (szochó) & employee contributions** — the full statutory stack
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Default 30 days if not agreed otherwise; maximum 3 months (6 for CBA-covered roles)	Labour Code
Standard hours	8 hrs/day, 40 hrs/week	Labour Code
Overtime cap	250 hours/year (up to 400 by CBA)	Labour Code

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	HUF 322,800/month	Effective 1 January 2026
Guaranteed minimum wage (skilled roles)	HUF 373,200/month	For roles requiring secondary/vocational qualification
Employer social contribution tax (szochó)	13% of gross salary	Flat rate, no ceiling
Personal income tax	15% flat rate	Applies to all employment income, no brackets

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	20 days/year, rising to 30 with age (1–10 extra days by age band)	Employer	Labour Code minimum
Sick Leave	Employer pays first 15 days (70% of pay), social insurance thereafter	Employer (15 days) + social insurance	Labour Code / Health Insurance Act
Maternity Leave	24 weeks	Social insurance (70% of average earnings)	Requires 365 days of insurance in the prior 2 years

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer social contribution tax (szochó, 13%)	\$390.00	13.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,990.00	~133.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Hungary's flat 13% employer szochó rate has no ceiling, making employer cost highly predictable regardless of salary level. Employee deductions (withheld separately) include 18.5% combined social security contributions (pension, health, labour market) and the flat 15% personal income tax.

Income Tax

Hungary applies a single flat 15% personal income tax rate to all employment income — there are no progressive brackets, making tax calculation simple regardless of salary level. Family tax allowances (családi adókedvezmény) can reduce the effective rate for parents.

Termination & Separation

Statutory notice is 30 days minimum, increasing by set increments with length of service (up to 90 days for long-tenured employees). Severance pay is mandatory for dismissals not attributable to the employee (e.g. redundancy), scaling from 1 month's pay (3+ years' service) up to 6 months' pay (25+ years' service).

★ HERO TIP

Hungary's flat-tax simplicity on both the employer (13% szochó) and employee (15% PIT) sides makes it one of the more predictable CEE markets to budget for — but severance obligations still scale meaningfully with tenure, so don't assume flat-tax simplicity extends to termination cost. Confirm the applicable severance band with your HeroForce EOR before finalising an exit.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
15 March	National Day (1848 Revolution)	National
3 April	Good Friday	National
6 April	Easter Monday	National
1 May	Labour Day	National
25 May	Whit Monday	National
20 August	State Foundation Day	National
23 October	National Day (1956 Revolution)	National
1 November	All Saints' Day	National
25-26 December	Christmas Day and 2nd Day of Christmas	National

Ready to hire in Hungary?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Hungary employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).